

M/s R.D. Papers Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd.

Allahabad High Court · Division Bench · 1 August 2025 · 2025:AHC:129522-DB · Writ-C No. 2163 of 2014 · **Writ dismissed; additional security demand under clause 4.20 held not bad.**

HEADNOTE

The Allahabad High Court dismissed a consumer's writ seeking to quash a demand for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005. Following *M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P.* (Writ-C No. 30898 of 2016, 21 March 2017), the Court held that a distribution licensee's demand of additional security is not bad, and dismissed the petition for the reasons given in that judgment.

FACTUAL SUMMARY

M/s R.D. Papers Ltd. challenged a demand notice dated 21 December 2013 issued by Dakshinanchal Vidyut Vitran Nigam Ltd. requiring additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005. A Division Bench on 15 January 2014 connected the writ with Writ Petition (C) No. 51884 of 2009 and, following an interim order in *M/s Supreme Ceramics Limited*, restrained the respondents from demanding additional security until further orders. The petition remained pending through a 2023 listing and was finally heard in August 2025.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security

HOLDING

A distribution licensee's demand of additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 is not bad. A writ to quash such a demand is dismissed on the reasoning of *M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P.*

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TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P.</i> Writ-C No. 30898 of 2016 (21 March 2017)			Shekhar B. Saraf, J.	Referred
<i>M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.</i> Writ Petition No. 51844 of 2009 (7 October 2009)			Vineet Saran, J.	Referred